

Collateral Acceptance Policy Draft – Needs Improvement

1. Overview

The purpose of this draft policy is to outline how the lending desk handles collateral. It loosely aligns with internal credit practices but requires refinement to ensure full regulatory and governance alignment.

2. Scope

Applies broadly to lending activities in capital markets. More detail is needed on covered products, counterparties, and regional applicability. Exclusions are not clearly defined and require expansion.

3. Policy Requirements

- Collateral should usually be acceptable based on internal rules.
- Valuations are performed, but the methodology and frequency are not clearly stated.
- Haircuts apply, but schedules and exceptions are not listed.
- Legal review happens in most cases, but requirements need clarity.
- Requirements lack measurable criteria and traceability.

4. Roles & Responsibilities

Roles are partially defined:

- Lending Desk: Handles onboarding.
- Credit and Risk: Provide oversight.

Needs: clearer division of authority, escalation rights, and decision-making boundaries.

5. Operational Procedures

Some steps are mentioned but lack structure:

- Check collateral.
- Get valuation.
- Review exceptions.

Needs: reference to SOPs, standard workflows, and alignment with enterprise controls.

6. Exceptions & Escalations

Exceptions occur but the criteria, approval path, and documentation are unclear.

7. Compliance, Monitoring & Reporting

Monitoring exists informally. Reporting cadence, evidence standards, and escalation rules need definition.

8. Definitions & Interpretation

A few terms are included but glossary alignment is missing.

9. Appendix

Appendix materials need to be added.